

Bosnia & Herzegovina — Employment Guide

A complete reference for employers using HeroForce EOR to hire in Bosnia and Herzegovina. All figures reflect statutory rates effective 2026. Where applicable, common-practice benefits and important employer obligations are noted. Note: employment law in BiH varies between the Federation of Bosnia and Herzegovina (FBiH) and Republika Srpska (RS). This guide reflects FBiH rules unless otherwise stated.

At a Glance

20–30 days Annual Leave	42 days Sick Leave (employer)	4+ Public Holidays	40 hrs/wk Standard Hours
6 months Max Probation	7–90 days Notice Period	~17% Employer On-Cost	10th Pay Date

Basic Labour Laws

Probation period	Minimum probation period is not defined by law. Maximum is 6 months for both definite and indefinite term contracts.
Notice during probation	7 days.
Notice after probation — employee	Minimum 7 days, maximum 30 days.
Notice after probation — employer	Minimum 14 days, maximum 3 months.
Working hours	40 hours per week (full-time).
Overtime hours	Maximum 40 hours per month.
End of service benefit	Obligatory for indefinite term contracts terminated by the employer for organisational reasons. The minimum benefit is one-third of the three-month average salary per year of service. In practice, mutual termination by contract is recommended to avoid legal disputes; 2–3 salaries are typically paid in such cases.
Annual bonus	Not mandatory. No statutory annual bonus in Bosnia and Herzegovina. Fully taxable if paid.

Source: Labour Law of the Federation of Bosnia and Herzegovina.

Leave Policy

Annual / earned leave	Minimum 20 days, maximum 30 days per year.
Sick leave	Doctor's notice is required. 80% of salary is paid during sick leave. The first 42 days are paid by the employer; after that the net salary can be refunded by the state health fund.
Public holidays	4 national public holidays. Additional regional holidays observed in specific regions or by particular religious communities — these may vary.
Maternity leave	Maximum duration 12 months. Leave can start 28 days before childbirth. The same 12-month entitlement after childbirth is shared between maternity and paternity leave — it is the parents' choice who takes the leave, but both cannot use it at the same time.
Paternity leave	Available if the mother does not use maternity leave. Maternity and paternity leave cannot be used simultaneously — this is an either/or entitlement.
Childcare leave	There is no separate parental leave in FBiH. Care for a sick child is treated as regular sick leave. A medical certificate is required; salary may be reduced by 20% during these days.
Compassionate leave	7 days paid leave per year.
Wedding leave	7 days paid leave per year.
Leave carry forward	The first 12 days of annual leave must be used within the calendar year. Remaining days can be carried into the next year and used by the end of June.

Source: Labour Law of the Federation of Bosnia and Herzegovina.

Pay Date, Minimum Wage & Tax Overview

Payout currency	Bosnia and Herzegovina Convertible Mark (BAM).
Payroll cycle	Monthly — paid on the 10th of the following month.
Expenses cut-off	1st of the following month.
Onboarding cut-off	20th of the month (may vary depending on prepared documents; can be a day before start).
Minimum wage (2026)	BAM 1,027 per month (effective 1 January 2026). Note: published annually — 2024 rate was BAM 996 gross.
Income tax — individual	10% flat rate on the taxable base. The taxable base is calculated by deducting 31% social contributions and a personal deduction from gross salary. The personal deduction is calculated by multiplying the coefficient from the employee's tax card by 300.
Employer on-costs (~17%)	Contributions on salary: approximately 5% of basic gross salary. Public health insurance (employer portion): 12.5% of gross salary. Rehabilitation fund contribution: small additional levy. Total employer cost: gross salary + ~17% in statutory contributions.
Employee contributions (~31%)	Pension/retirement insurance: 17% (employer) + 6% (employee) = 23% combined. Unemployment insurance: 1.5% (employer) + 0.5% (employee) = 2% combined. Health insurance: 12.5% employer + 4% employee = 16.5% combined. Total employee-side deductions: ~31% of gross salary.
Severance accruals	Not applicable as a separate accrual item.
VAT	Not applicable to employment costs.

Source: Tax Administration of FBiH; Labour Law of FBiH; Federation Ministry of Finance.

Health Coverage & Benefits

Public health insurance	Mandatory in Bosnia and Herzegovina. Total contribution is 16.5% of gross salary: 12.5% paid by the employer and 4% by the employee. Covers healthcare services, medical treatments, and hospital care.
Private health insurance	Not obligatory. Can usually be arranged within a week if required documentation is provided. No specific deadline for initiating coverage — a few days' notice is typically sufficient. Global insurance provider plans also available covering inpatient, outpatient, complementary therapies, mental health, dental, vision, screenings, vaccines, and maternity. Premiums are additional, charged annually.
Social security	Retirement insurance: 23% combined (17% employer, 6% employee). Unemployment insurance: 2% combined (1.5% employer, 0.5% employee).

Source: Law on Health Insurance FBiH; Law on Pension and Disability Insurance FBiH.

Termination & Severance

Scenario A — Mutual termination	Voluntary agreement between HeroForce and the employee. Process includes meetings to explain the situation and agree terms. Termination date can be agreed without a mandatory notice period. Severance is not legally required but is usually provided as compensation. Factors include employer capacity, employee tenure, employability, and loss of unemployment benefits. This route carries no legal risk and is the recommended approach.
Scenario B — Unilateral termination	If the employee refuses mutual termination, the employer must unilaterally terminate. Legal obligations include: amending job classification and cancelling the post; waiting 8 days before terminating; providing a 30-day notice period; proving the employee cannot be retrained or reassigned; restricting new hires in similar roles for one year. Severance is mandatory: 1/3 of net salary per year of service, up to six salaries. Employees may appeal or file a lawsuit if procedures are not followed.
Notice period — employee	Minimum 7 days, maximum 30 days after probation.
Notice period — employer	Minimum 14 days, maximum 3 months after probation.
Severance payable	Mandatory for indefinite term contracts terminated by the employer. 1/3 of net salary per year of service, up to a maximum of six salaries.
HeroForce note	HeroForce manages the full termination process including documentation, statutory notices, severance calculation, and all required filings on your behalf.

Source: Labour Law of the Federation of Bosnia and Herzegovina.

Probation & Notice Periods

Scenario	Period	Notes
Probation (max)	6 months	Applies to definite and indefinite contracts.
Notice during probation	7 days	Either party.
Employee notice (post-probation)	7–30 days	Minimum 7 days, maximum 30 days.
Employer notice (post-probation)	14 days–3 months	Minimum 14 days, maximum 3 months.

Source: Labour Law of the Federation of Bosnia and Herzegovina.

Onboarding

Onboarding time	Typically 5 working days. The employment contract must be wet-signed. HeroForce submits the required data, the vendor drafts the contract, HeroForce confirms, contract signing is arranged, and the employee is then registered with the tax office.
Onboarding cut-off	20th of the month. Can depend on prepared information and documents; may be a day before start in some cases.
Private health insurance enrolment	Can be arranged within approximately one week once required information is provided.

Powered by HeroForce EOR

HeroForce by Employment Hero handles every layer of compliance in Bosnia and Herzegovina — employment contracts, monthly payroll, Tax Administration filings, social insurance registration, and full ongoing HR support — so you can onboard employees in Bosnia and Herzegovina in approximately 5 business days without opening a local entity.

Contact your HeroForce account manager or visit heroforce.com